



VALAR FINANCIAL ADVISORS

First Home Buyers Guide Your Path to Your Own Home



Financial Clarity

Understand your borrowing power and prepare your finances



Smart Strategy

Navigate mortgage options, pre-approval, and the NZ market



Your First Home

Find, negotiate, and secure your property in 2–3 months

 A First Home Buyer Workbook with coaching questions awaits you at the end of this guide.

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What We'll Cover

This guide is your step-by-step action plan for buying your first home. You'll understand how to prepare for a mortgage and how to get the keys to your first home in 2–3 months.

Key questions you'll get answers to:



How much money do you need to save for a deposit?



How do you improve your credit score?



Which mortgage to choose: fixed or floating rate?



How do you get pre-approval mortgage?



What should you look for when viewing homes?



What additional costs should you expect when buying?



How do you negotiate and make an offer correctly?



What benefits are available to first home buyers?



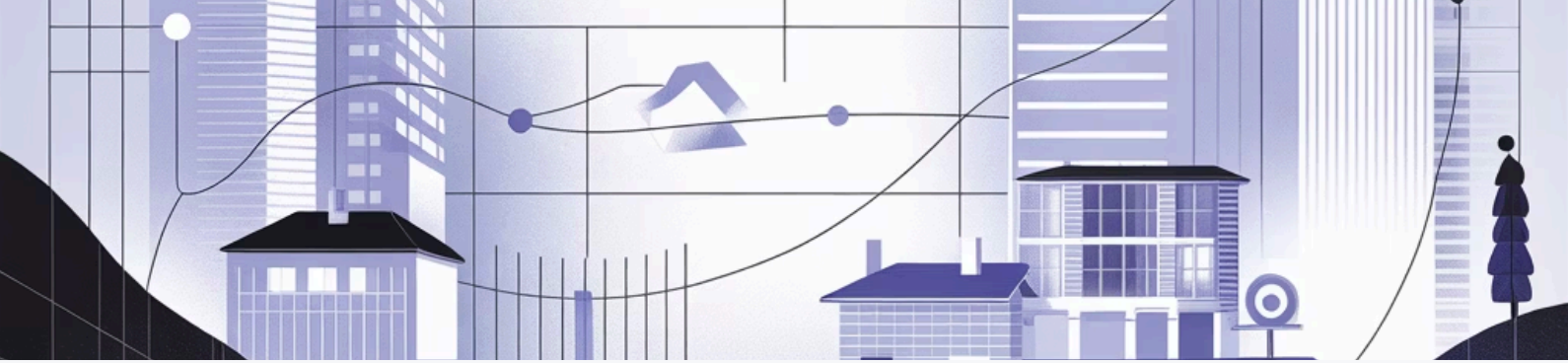
Expert tip:



Start with Pre Approval mortgage BEFORE searching for a home. Or, at the very least, speak with a Mortgage Advisor who will help you understand your position and prepare the necessary documents. This will give you a competitive advantage at auctions and negotiations, and help you realistically assess your budget.

Most buyers do the opposite — and lose time and opportunities.





Understanding the NZ Property Market

The NZ property market has its own specifics, so it's important to look at it from different angles. These key elements form a strong and successful buyer position:



Market Terminology

Understanding key terms (LIM, Freehold/Leasehold, Conditional/Unconditional) will help you communicate confidently with agents and lawyers.



The Right Professionals

Choosing an experienced Mortgage Advisor, Real Estate Agent, Building Inspector, and Solicitor is critically important for success.



Market Phase

Understanding the current market phase (growth, stability, decline) will help determine the right timing and buying strategy.



Action Strategy

A clear step-by-step plan from preparation to closing the deal.



💡 Your Key Partner — Mortgage Advisor

Most questions can be worked through together with a Mortgage Advisor, who will help you for free in the very first 30–45 min meeting:

- Walk you through the main buying roadmap
- Explain the different phases of the process
- Prepare a step-by-step plan tailored to your situation



ROADMAP

1

Your Starting Point

Understanding your current position

Define your ideal property type, neighbourhood, lifestyle, and reason for buying. This is the foundation of your entire strategy.

2

Exploring the Market

Market research

An overview of available listings: current prices, property types, condition of homes, neighbourhood trends, and forecasts.

3

Contacting Professionals

Your team of professionals

Mortgage adviser, real estate agents, lawyer, building inspector — the people who will help you navigate the process safely and confidently.

4

Your Financial Capacity

+ Pre-Approval

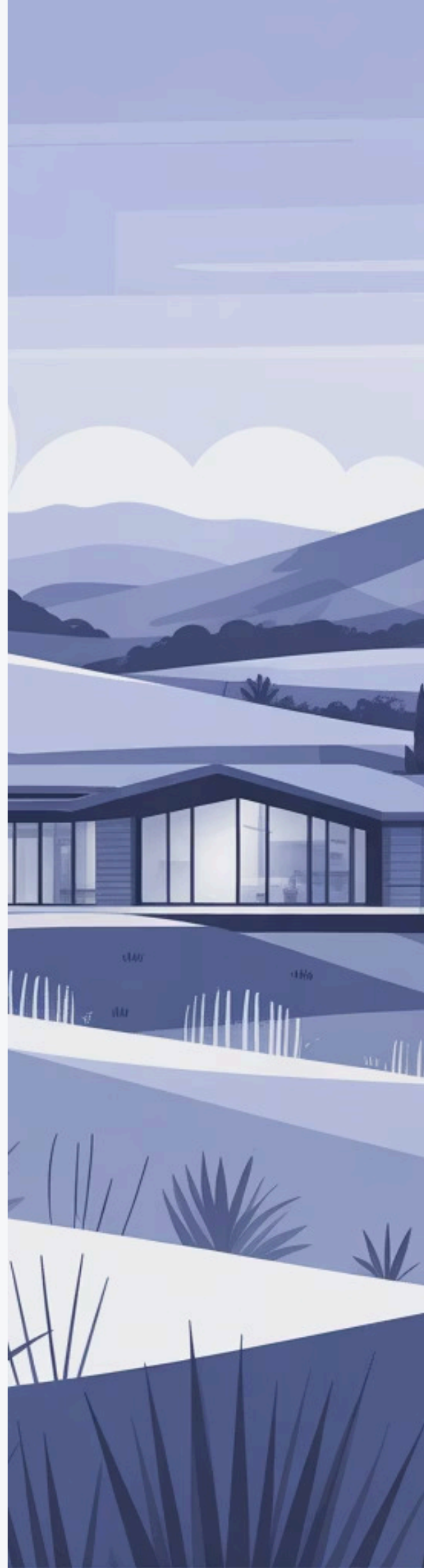
Assessing your financial situation: income, expenses, deposit, credit profile, and determining your potential budget.

5

Searching for Your Home

Finding your home: a smart approach

Focus on precise criteria: property condition, location, renovation potential, market price. The goal is not a perfect home, but a home that fits your current stage of life.



6

From Offer to Unconditional

From Offer to Final Approval

The stage of property assessment and fulfillment of conditions: building inspection, LIM, technical and legal conclusions, bank requirements.

7

Approval & Loan Structuring

Financing Confirmation & Loan Structure

Confirmation of financing for the selected property and determination of the loan structure: interest rate type, loan split, repayment terms, and related parameters.

8

Signing Legal Documents

Signing Legal Documents

The lawyer prepares agreements, explains the terms, and coordinates the property transfer process.

9

Settlement

Transfer of Ownership

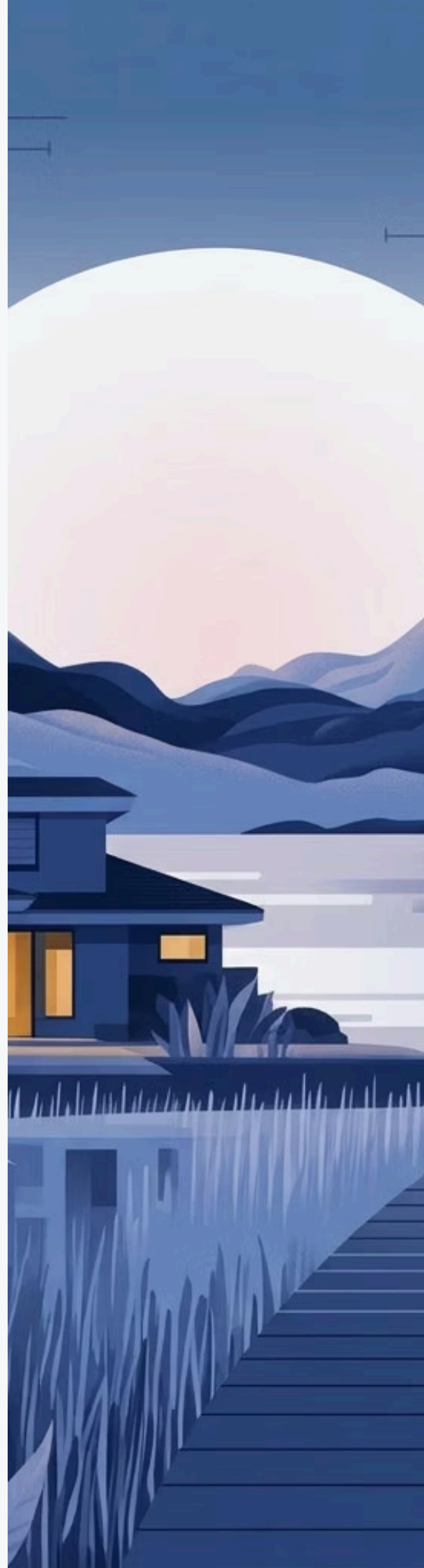
The process of completing the transaction, during which funds are transferred, the transfer of ownership is registered, and the keys are handed over to the buyer.



Life After Purchase

Life After Purchase

Planning refixes, optimising your loan, renovating, building equity, and preparing for future investments.





Key Real Estate Terms in New Zealand

Land Information Memorandum (LIM)

An important document that provides detailed information about a property and land, including zoning, permits, and potential hazards. This is the first thing you should obtain before seriously considering any property.

Freehold

The most common type of property ownership in New Zealand, where you own the land and any buildings on it outright. This is the most desirable type of ownership for most buyers.

Leasehold

You own the building but lease the land it sits on, typically from the government or Māori tribes. Lease payments can significantly impact your budget.

Cross-lease

A form of ownership where you own a share of the land and hold a lease on your specific dwelling. This is common in older suburban areas.

Unit title

Common for apartments, where you own your individual unit and a share of common areas. Typically involves annual body corporate fees for maintenance.

Unconditional offer

An offer with no conditions attached, which becomes binding upon acceptance. This makes your offer stronger but also carries greater risk.



New Zealand Real Estate Market Dynamics

Seasonal Fluctuations

The New Zealand real estate market often shows heightened activity in the spring and autumn seasons. This can affect prices and availability as demand fluctuates throughout the year. Planning your purchase with these trends in mind can provide a competitive advantage.

Regional Differences

Property markets can vary significantly between regions. For example, the Auckland market often shows different trends compared to smaller cities or rural areas. Understanding local conditions is key.

Government Policy

It is important for first home buyers to stay informed about government policies that may affect the property market, such as changes to lending criteria or first home buyer incentives.

To research the market, use online resources such as -

- Trade Me Property,
- realestate.co.nz,
- homes.co.nz and
- oneroof.co.nz.

These platforms provide valuable data on recent sales, estimated values, and market trends. Understanding these aspects of the market will help you make informed decisions.





Financial Preparation for Property Ownership

Financial readiness is the foundation of a successful home purchase in New Zealand. The first step is saving a deposit, which typically ranges from 10% to 20% of the property's value. However, some lenders may offer lower deposit options for first home buyers, such as 5%. It is important to budget not only for the deposit but also for additional costs such as building inspections, legal fees, and moving expenses.

In New Zealand, your credit score plays a significant role in mortgage approval. Unlike some countries, Kiwi credit scores range from 0 to 1000, with higher scores being more favourable. To improve your score, make sure you pay bills on time, reduce existing debts, and avoid applying for new credit unnecessarily. It is recommended to regularly check your credit report through agencies such as Centrix or Equifax.



Set a Clear Savings Goal

Determine your target property value and calculate the required deposit amount — 5%, 10%, or 20%.



Automate Your Savings

Set up automatic transfers to a separate high-interest account.



Create a Detailed Budget

Carefully track your income and expenses to identify opportunities to reduce spending.



Where Does the Deposit Come From?

Saving a deposit is one of the biggest challenges for first home buyers. Most people combine 2-3 sources to reach the required amount.



KiwiSaver

After 3 years of membership, you can withdraw your funds (except the minimum \$1,000). Note that you should move your KiwiSaver into a more conservative fund before buying — a sudden market drop is the last thing you need right now.



Savings

Banks require 'genuine savings' — regular savings over 3–6 months. Use high-yield accounts or mutual funds. Aim to set aside 15–30% of your income each month.



Family Gift

A formal Gifting Letter is required confirming the funds are non-repayable. Banks may request the donor's bank statements to verify the source of funds.



Sale of Assets

Funds from the sale of property, a vehicle, or shares. Banks require a sale-and-purchase agreement and proof of transfer. International transfers typically take 3–7 days.



Equity in Another Property

Using accumulated equity from an existing property. Banks generally allow equity to be accessed up to 80% of the property's value.



Loan from a Company

A loan from an employer or your own business. A formal agreement is required. Banks treat this as a liability when assessing your borrowing capacity.



Important: banks verify deposit sources in accordance with AML requirements. Prepare your documents in advance: bank statements for 3–6 months, gifting agreements, and proof of transfers. The verification process can take time.



How Much Deposit Do You Need?

In New Zealand, you don't always need a 20% deposit to buy a home. There are different options that depend on your financial situation and access to government programs. Understanding these options will help you determine the best path to owning your own home.

Here are four main scenarios worth considering:

1

Kainga Ora First Home Loan (5%)

Great terms — strict requirements.

- Lower interest rates and potential cashback.
- Pre-approval for 90 days.
- ⚠️ Income restrictions apply, premium% is added to the debt.

2

Main bank+small deposit (5%)

Difficult, costly, but possible

- Standard bank loan.
- Fast application processing.
- ⚠️ No pre-approval (real transactions only), rates may be higher.

3

Low Deposit Loan (10–19%)

Good to start

- Pre-approval available on a limited basis.
- ⚠️ Interest rates are typically 0.25%–0.75% higher.
- Each bank has its own criteria, which can change quickly.

4

Best case (20%+ deposit)

The most advantageous position

- Lowest rates and best cashback.
- The easiest path to approval (up to 90 days).
- Property valuation is often not required.

❏ Should you wait until you've saved the "ideal" 20% deposit?

Not necessarily. In many cases, it's more beneficial to start with a smaller deposit — especially if the market is growing.

The best decision — is to analyse your options together with a Mortgage Advisor to choose the optimal path for your specific situation.





Budgeting for Additional Costs

Buying a home involves more expenses than just the deposit. It's important to budget for these additional costs to avoid financial surprises.

Legal Fees

Your lawyer or solicitor will charge for handling the sale and purchase. This typically ranges from \$1,500 to \$5,000, depending on the complexity of the transaction.

Building Inspection

A professional property inspection is essential for identifying potential issues. Expect to pay between \$400 and \$800 for a standard inspection, or more for detailed reports.

LIM Report

A Land Information Memorandum from the local council typically costs between \$200 and \$500. This document provides important information about the property and land.

Valuation

If your lender requires a formal valuation, it can cost between \$600 and \$1,500. Some lenders include this in the cost of the mortgage.

Moving Costs

Don't forget to account for the cost of hiring a moving company or renting a truck, plus any initial setup expenses for your new home.

Insurance

Most lenders will require home and contents insurance before settlement. Get several quotes to find the best rate.



Credit Score. Why Does It Matter?

A credit score is an assessment of your financial behaviour that banks use to determine whether you are a reliable borrower. It is shaped by: payment history, existing debts, credit limits, and the frequency of credit checks. The higher the score — the easier it is to get approved and secure better terms.

What Does the Bank Check?

- **Bank statements for 3 months:** missed payments, overdrafts, gambling expenses.
- **Credit history for 180+ days:** credit card statements, applications, timeliness of payments.

❏ ⚠ Any default or missed payment significantly complicates approval. Do not try to hide it. It is better to discuss the reasons with your Advisor, develop a plan on how best to present this information to the bank and explain it.

How to Prepare Your Credit Profile?

Pay on Time

Set up automatic payments — this is the simplest way to never miss a bill. Timely payments are a key rating factor.

Reduce Debts

Decrease the limit of credit cards and loans. Try to keep your credit limit utilisation **below 30%**.

Avoid Enquiries

Every credit enquiry can lower your score and remains on the report for up to 2 years.

Check Your Report

Get a free report once a year:
Centrix, Equifax, Illion

How to Check Your Score in Advance?

- Order your report (free of charge) — are there any issues? Is the information in the report correct?
- Review 3 months of bank statements and 6 months of credit card statements.
- Make sure: no missed payments, no debt collection, expenses are stable and there are no risk expenses (gambling, casino, large ATM withdrawals, unexplained transactions).
- Correct any inaccuracies before submitting your application.



Realistic Goals

Setting clear financial goals is a key step in preparing to buy your own home. This will help you not only save the necessary deposit, but also ensure a stable financial future after the purchase.

Assess Your Long-Term Plans

Think about how your career, family, and lifestyle may change over time to define the right financial goals. This will help you choose a property that meets your needs in the future.

Calculate Affordable Payments

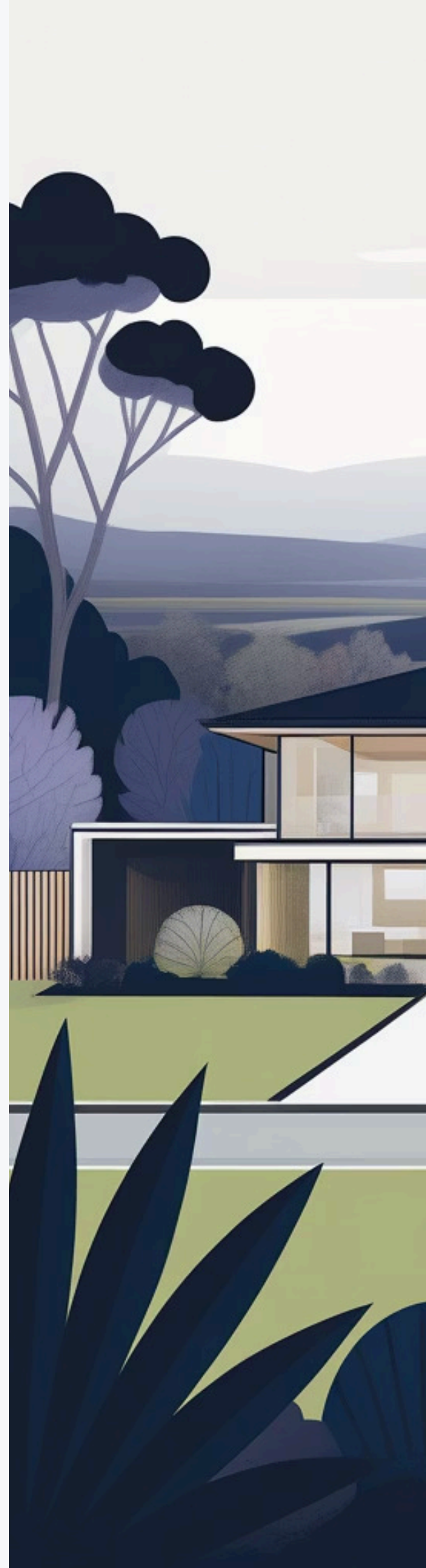
Make sure your mortgage payments align with your comfortable spending and leave room for savings. It's important not to overburden your budget to avoid financial stress.

Account for Future Expenses

Budget for property maintenance, utilities, insurance, and taxes. These additional costs can significantly impact your monthly budget.

Build an Emergency Fund

Gradually accumulate 3–6 months of living expenses to be prepared for unexpected financial situations, such as job loss or urgent repairs.



TOP-5 Steps: How to Prepare Your Finances for Getting a Mortgage

1

Stabilise cash flow (90 days) + Credit card (180 days)

Banks analyze statements from the last 3 months. Avoid overdrafts, large unusual purchases, and risky transactions (gambling). Consistent cash flow demonstrates your ability to repay.

- ☐ ⚠ Regular savings, even small ones that appear in your statements, demonstrate your ability to accumulate funds.

2

Improve your credit score

Pay all obligations on time. Avoid new credit checks. Reduce credit card debt. Outstanding debts or defaults are the most common reasons for rejection.

3

Optimize your debt load

The less, the better. Close unnecessary credit cards and pay off small loans. This will show the bank that you have sufficient funds for a mortgage.

- ☐ ⚠ With a deposit of <20%, you need to weigh the necessity of closing other loans. Consult a Mortgage Advisor on this matter.

4

Prepare your deposit and demonstrate savings

Having a deposit is a key requirement. Even with a minimum deposit (5–10%), banks want to see regular savings.

5

Gather the necessary documents in advance

Statements for 3 months, credit report, proof of income, information about the source of the deposit. This will speed up the process and demonstrate your organization.



How Much Can You Borrow?

Understanding the maximum loan amount is a critically important step in the home buying process. Banks assess your ability to repay, taking into account a number of factors to ensure that you can comfortably service the mortgage even under adverse circumstances.

1

DTI (Debt-to-Income Ratio)

This is an approximate indicator showing that the maximum loan amount can equal your annual income multiplied by approximately 6 (for homeowners). This is merely a guideline, not a guarantee — the actual amount depends on many other variables.

2

Affordability

The bank carefully assesses whether your income is sufficient to cover all current expenses and payments, even if interest rates rise. A stress-test is typically applied at rates of around 6.8% or higher to check your financial resilience.

3

Deposit

The size of your initial deposit has a significant impact on the amount you can borrow. The larger the deposit, the more bank offers will be available to you and the more favorable lending terms you will be able to secure.

4

Debts and Obligations

Having other financial commitments — such as car loans, credit card debts, BNPL (Buy Now Pay Later) services, or other regular payments — directly reduces your borrowing power, as they affect your monthly disposable income.

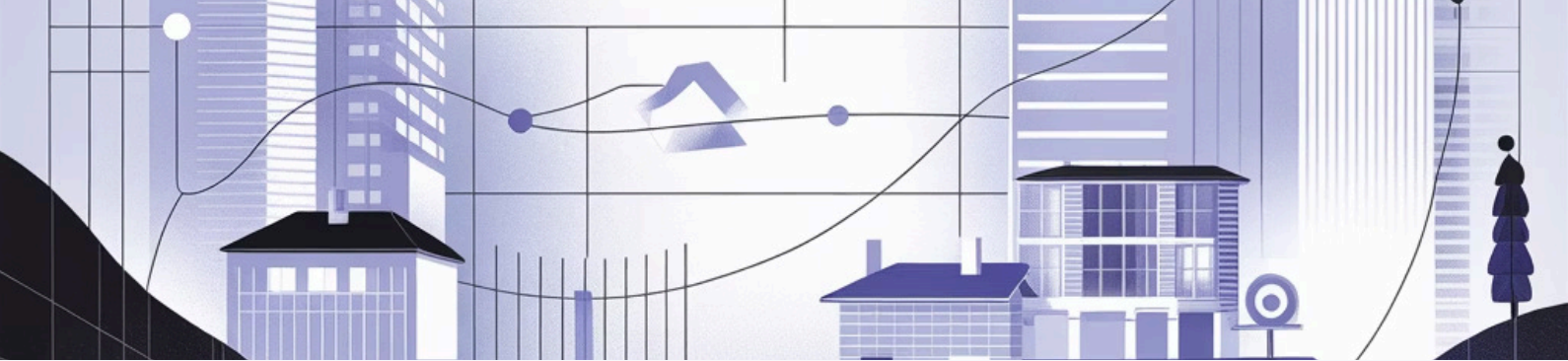
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Income Stability

Banks analyze the length of your employment, the type of contract (permanent or temporary), self-employment history, as well as expenses for dependents (children) and other regular obligations. A stable, verified income is a key factor for a positive lending decision.

⚠ Banks may offer you a larger amount than you expect. But is it worth taking the maximum for your first home? The most sensible path is to start with a comfortable, affordable option that won't strain your budget. Mortgage Advisors can help you work out the optimal budget for your situation.





Navigating Mortgage Options in the New Zealand Market

Understanding your mortgage options is critically important for first home buyers in New Zealand. Different types of loans are typically available, each with their own advantages and disadvantages. The most common are fixed and floating rates.

A fixed rate has a set interest rate for a specified period (usually from six months to five years), providing certainty in your payments. A floating rate has an interest rate that can change, meaning your payments may increase or decrease. Many buyers choose a combination of both — part of their mortgage is fixed for stability, and part is floating for flexibility.



Interest Rates

Compare mortgage rates between lenders and different loan types to find the most competitive option. Your Mortgage Advisor can help you decide.



Loan Term

Typical mortgage terms in New Zealand range from 25 to 30 years, with shorter terms resulting in higher monthly payments but less total interest paid.



Payment Frequency

Decide whether to make weekly, fortnightly, or monthly mortgage payments based on your budgeting preferences.



Fees

Review establishment fees, ongoing fees, and early repayment fees associated with different mortgage options.





Mortgage Selection Factors

Most experts recommend diversifying your mortgage portfolio by splitting across different fixed terms and rate types.

Interest Rate Types

- **Fixed rate:** Stability and predictability in payments
- **Floating rate:** Flexibility and potential for savings if rates decrease
- **Combination:** Balances risk and flexibility by splitting between fixed and floating

Repayment Flexibility

Some mortgages allow you to make extra payments without penalties, which can save you thousands of dollars in interest over the life of the loan. This is especially valuable if you expect income growth or bonuses.

Offset Features

An offset account is a savings account linked to your mortgage. The funds in this account reduce the mortgage balance on which you pay interest, potentially saving you significant money while maintaining easy access to your savings.

Early Repayment Penalties

If you have a fixed mortgage and wish to repay it early, you may face early repayment penalties. Consider this when choosing between a fixed and floating mortgage, especially if you plan to make additional payments.



Exclusive Benefits for First Home Buyers

The New Zealand government offers several schemes designed to help first home buyers enter the property market. These benefits can significantly reduce the financial burden when purchasing your first home.

First Home Loan

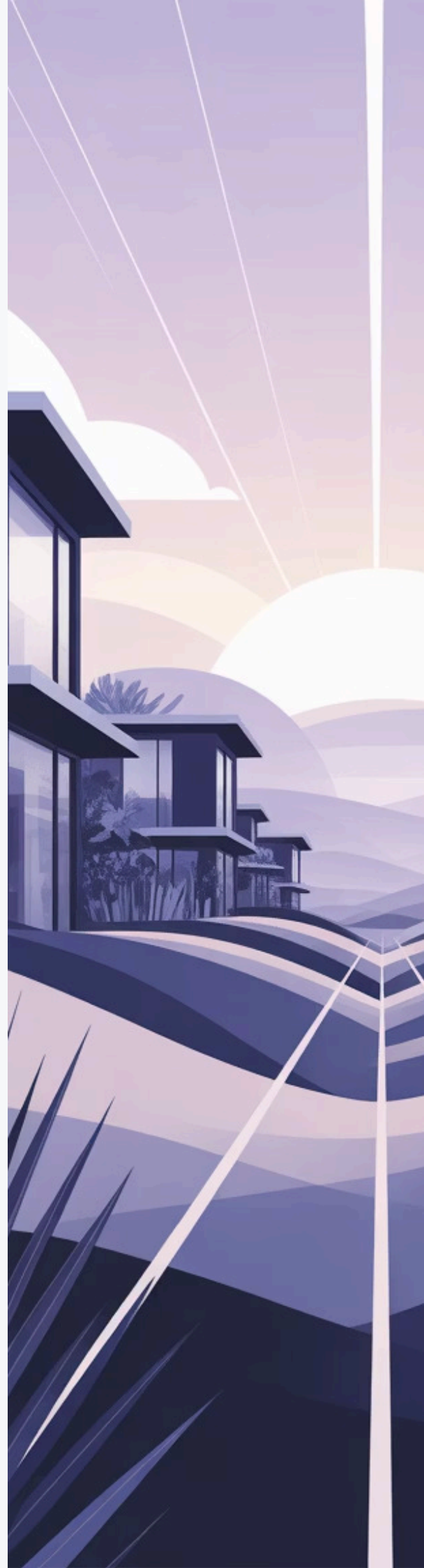


If you're struggling to save the full 20% deposit, the First Home Loan scheme from Kāinga Ora can help. It allows eligible buyers to purchase a property with a deposit of just 5%. This significantly lowers the barrier to entering the property market, although you must still meet strict eligibility criteria.

KiwiSaver HomeStart



As a KiwiSaver member, you can withdraw your contributions after three years of membership to help with your first home purchase. This can provide a significant boost to your deposit savings. Make sure you understand the withdrawal rules and how this will affect your retirement savings.





Mortgage Advisors: insider guides

Your Advisor can be an invaluable ally on your journey to buying a home. These professionals work as intermediaries between you and lenders, helping you find the best mortgage deals and navigate the application process.



Expert Advice

Advisors know the mortgage market inside out, so they can help you navigate the maze of options.



Access to Exclusive Deals

Advisors have connections with numerous lenders, unlocking special offers and rates.



Streamlined Applications

Advisors handle all the paperwork and legwork, so you can focus on finding your dream home.



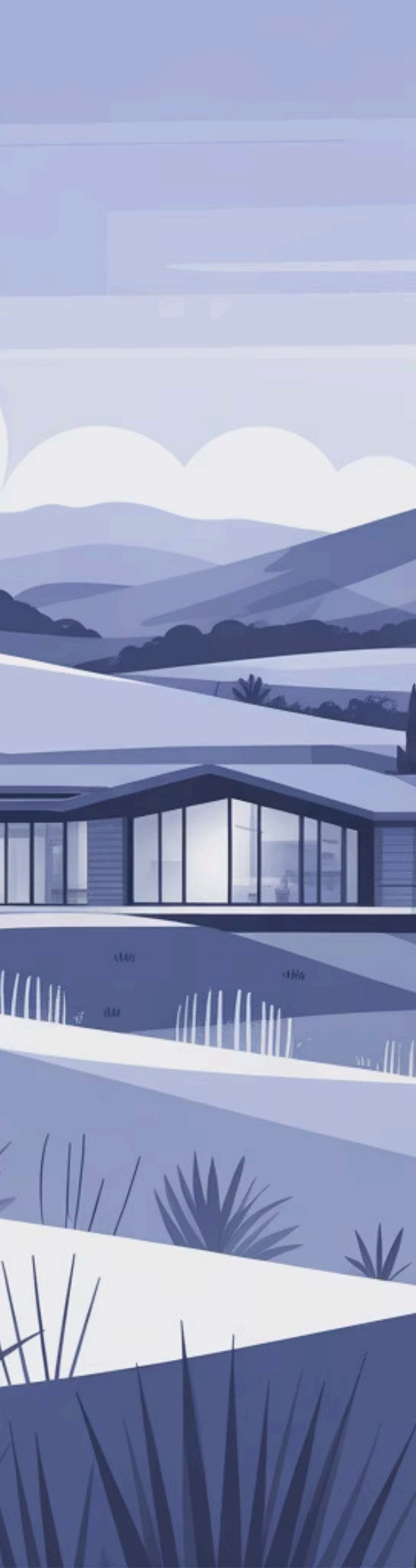
No Additional Cost

Typically, mortgage advisors are paid by the lender, so their services cost you nothing extra.

One of the biggest advantages of using Mortgage Advisors is their access to multiple lenders. Rather than approaching banks individually, a broker can submit your application to several lenders simultaneously, securing the best deals.

Partnering with a mortgage advisor can be the secret to a stress-free home buying journey. They can save you time, money, and stress by navigating the complex mortgage landscape on your behalf.





Optimizing your mortgage: insider tips

1

Extra repayments

By making extra repayments whenever possible, you can significantly reduce the interest you pay over the life of your loan. Even small additional amounts can lead to substantial savings over time.

2

Refinancing

If market conditions improve, refinancing at a lower interest rate can substantially reduce your monthly payments and overall costs. Regularly review your mortgage to make sure you're getting the best deal.

3

One step ahead

Regularly reviewing your mortgage ensures it continues to meet your financial needs and goals. Adapting to changes can mean significant savings down the track.

4

Offset Power

Using offset accounts wisely allows you to put your savings to work directly reducing the interest you pay on your mortgage — a true win-win situation!



The Importance of Pre-Approval

Pre-Approval is one of the most important steps you can take before starting your home search. Essentially, it is a **conditional** commitment from a lender to provide you with a mortgage up to a certain amount. Pre-approval gives you several key advantages in the home buying process.

1

Budget Clarity

Get a clear understanding of what you can comfortably afford, so you can search for a home with confidence. This prevents wasting time viewing properties outside your range.

2

Advantage Over the Seller

Show sellers that you are serious and financially ready to make a move. In a competitive market, this can give you an edge over other buyers without pre-approval.

3

Streamlined Approval

Sail through final approval once you find your dream home. Much of the work is already done, making the process significantly faster.

4

Rate Protection

Some lenders will lock in their best interest rates to give you additional peace of mind. This can protect you from rising rates while you search for a home.



Most banks currently offer pre-approval with a deposit from 20%.

With a smaller deposit, options are still available but depend on the bank.

Consult with an Advisor — conditions change very quickly.



Your Path to Pre-Approval

Initial Inquiry

Reach out to banks or a Mortgage Advisor to begin the pre-approval process. They will explain what information they need from you.

Lender Assessment

The lender will review your financial situation and make a pre-approval decision, typically within one week.

1

2

3

4

Document Collection

Gather the necessary financial documents such as payslips, bank statements, and proof of deposit.

Pre-Approval

Once approved, you will have a clear understanding of your borrowing capacity and will be ready to start your property search.

Key Documents You Will Need

- Proof of identity
- Payslips for the last three months
- Bank statements for the last three months
- Proof of deposit (KiwiSaver statements, savings accounts)
- Proof of any other income
- Information on existing debts or liabilities
- Credit history information
- Proof of employment (employment contract)



Validity Period and Reapplication

What You Need to Know

Most pre-approvals in New Zealand are valid for 60-90 days. If your home search takes longer, you may need to reapply or request an extension. Some lenders offer longer validity periods of up to 6 months.

It's important to keep your financial situation stable during the validity period of your pre-approval. Avoid major changes such as changing jobs, taking on new debt, or making large purchases, as these can affect your approval.



If You Don't Get Approved

1

Get Feedback

Understand the reasons behind the lender's decision to address any issues.

2

Improve Your Position

Work on problem areas such as reducing debt or increasing savings.

3

Explore Alternatives

Consider different lenders. Build a strategy with a Mortgage Advisor.

4

Government Support

Check eligibility for First Home Loan or Welcome Home Loan programs.



Small Deposit without Pre-Approval: Not a Problem!

A common concern among first-home buyers is that a small deposit may prevent them from getting mortgage pre-approval (Pre-Approval). However, this is not an insurmountable obstacle to buying a home . Even without Pre-Approval, you have real chances of successfully purchasing a property.



Individual Applications

Even without Pre-Approval, you can apply for a mortgage for each specific home you are interested in. This process may take a little more time, but it is absolutely realistic and commonly used.



The Role of a Mortgage Advisor

If you have a Mortgage Advisor, they can provide you with an indicative loan amount you may be eligible for, and pre-select the banks that are likely to consider your application despite the absence of Pre-Approval.



Document Preparation

Your task is to prepare all the necessary documents in advance. Your Advisor will review them and bring them into perfect order to ensure a fast and efficient review by the bank.



Fast Submission After an Offer

Once you sign a Conditional Agreement to purchase a home, all your prepared materials are sent to the bank for review as soon as possible, speeding up the process.

The key to success in this situation is thorough preparation and close collaboration with your Mortgage Advisor. They will help you navigate the process and present your application in the best possible light.



Effective Property Search

The first step is to clearly define your criteria. Think about location, size, property type, and any must-have features. Write down your "must-haves" and "nice-to-haves" to help focus your search.

Use online resources such as Trade Me, Oneroof, and realestate.co.nz, which are popular property listing platforms in New Zealand. These sites often provide detailed information, including estimated values and recent sales data. While online research is valuable, it is also important to engage a local real estate agent. They can provide insider market knowledge and alert you to new listings before they go public.



Location, Location!

Identify your ideal neighbourhood — close to work, schools, transport, and all the hotspots that matter to you.



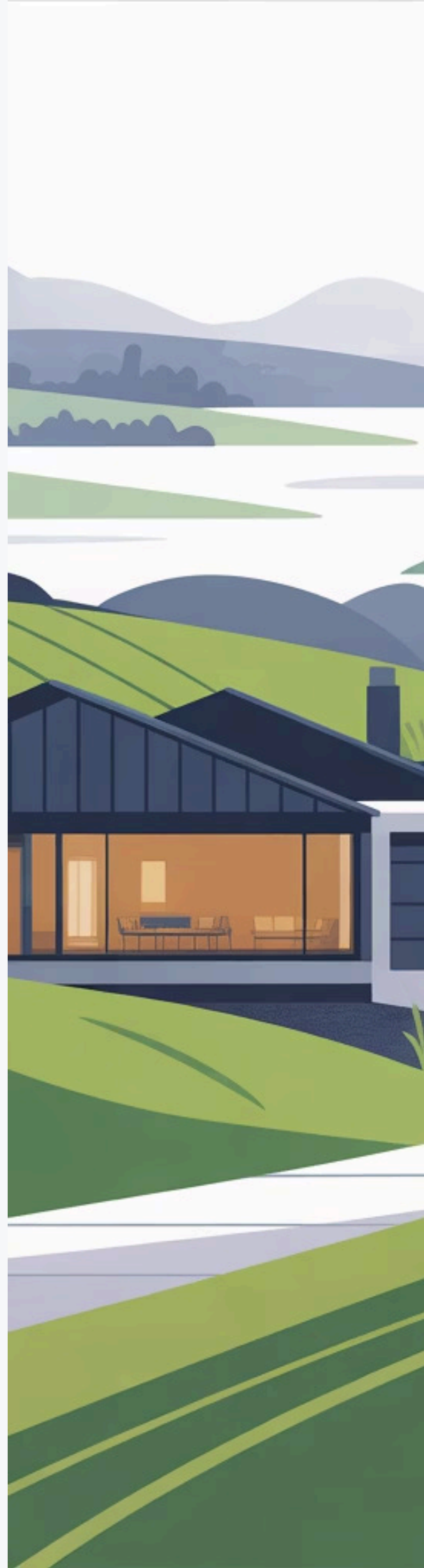
Check your needs

Decide on the right number of bedrooms, bathrooms, and living areas to suit your lifestyle.



Outdoors

Define your must-have outdoor space requirements — a garden, balcony, or low-maintenance yard.



Researching Neighbourhoods

Visit at Different Times

Check the area during the day and at night, on weekdays and weekends, to get a full sense of the neighbourhood.

Local Amenities

Identify nearby shops, schools, parks and medical facilities that match your needs.

Transport Links

Consider public transport options and commute times to work or other important locations.

Future Development

Research council plans for the area to understand potential changes that could affect property values.

Crime Statistics

Check [police.govt.nz](https://www.police.govt.nz) for local crime data to assess the safety of the neighbourhood.

Use Online Resources

Trade Me Property

New Zealand's largest property listings site. Use filters to narrow your search and find the right match.

[homes.co.nz](https://www.homes.co.nz)

Property estimated values, sales history and council valuations help you assess fair market value.

[realestate.co.nz](https://www.realestate.co.nz)

Comprehensive property listings. Set up alerts for new listings and use their mortgage calculator.

[oneroof.co.nz](https://www.oneroof.co.nz)

Property listings and market insights with school zone information.



Working with Real Estate Agents

Working with agents is a key element of a successful property search. They have access to exclusive information and can speed up the search process.



Open Homes and Private Viewings

Viewing a property in person is irreplaceable. Be strategic and attentive.



For a detailed inspection, arrange private viewings:

- **Convenient timing:** for a calm, unhurried inspection
- **Second opinion:** invite a friend for an outside perspective
- **Take your time:** inspect at your own pace





Open home: Attention on...



Structural Integrity

Look for cracks, uneven floors, or signs of movement. Check the foundation, walls, and roof for any structural issues.



Moisture and Mould

Check walls, ceilings, and under sinks for moisture or mould. Especially important in the New Zealand climate.



Insulation

Ask about ceiling, wall, and underfloor insulation. Good insulation can significantly reduce heating costs.



Heating and Cooling

Check the efficiency of heating/cooling systems. Consider running costs and overall effectiveness.



Plumbing and Electrical

Test taps, flush toilets, and check for outdated wiring. Old electrical systems can require costly upgrades.



Natural Light and Ventilation

Consider the property's orientation and airflow. North-facing orientation is ideal in New Zealand.





Important Property Reports

Before making a final offer on a property, it's important to obtain several key reports that provide critical information about the property and can reveal potential issues. These reports protect you from expensive surprises after purchase.



LIM report

Your key to unlocking a property's past and potential — zoning, permits, hazards, and more. Get insider information from the local council. This report is absolutely essential and typically costs between \$200 and \$400.



Valuation

Lenders need this independent assessment to ensure you're making a sound investment. Arm yourself with the facts. Your lender will usually arrange this, but you can also pay for it yourself.



Building inspection

Uncover hidden issues before they become an expensive headache. A qualified inspector will leave no stone unturned. Invest in a detailed inspection from a registered building inspector.



Title check

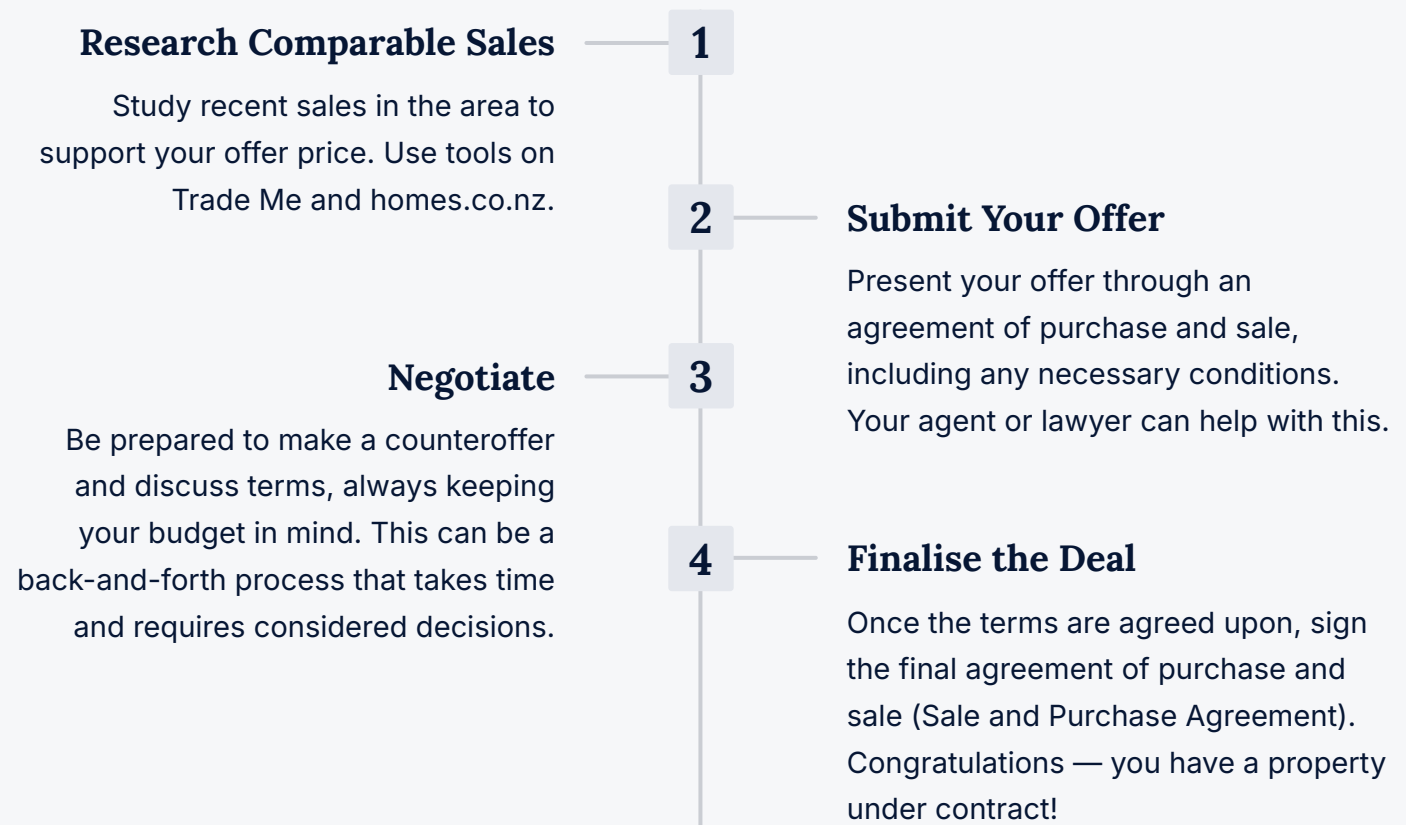
Confirms ownership and any legal claims — your lawyer should review all of this to protect your interests. This will reveal any encumbrances, liens, or other restrictions on the property.



Making an Offer and Negotiating

Once you have found a property you want to purchase, it is time to make an offer and potentially enter into negotiations. This process in New Zealand has its unique aspects, and understanding them is critically important for success. The process of making an offer typically involves submitting a written offer through an agreement of purchase and sale. This agreement outlines the terms of the sale, including the price, conditions, and settlement date.

Negotiation is a critically important part of the process. Be prepared to make a counteroffer if your initial offer is rejected. However, stay within your budget and don't let emotions cause you to overspend. In New Zealand, it is common to make offers with conditions, such as finance approval, a building inspection, or a LIM report. These conditions protect you as a buyer, but may make your offer less attractive in a competitive situation.



Negotiation Strategies and Tips



Key Strategies

- **Be prepared for a counteroffer:** Have a clear idea of your upper limit before entering negotiations.
- **Consider non-price factors:** Discuss flexible settlement dates, the length of the conditional period, or the inclusion of chattels.
- **Keep a poker face:** Don't reveal your maximum budget to the agent or vendor, and keep your emotions in check.
- **Use conditions strategically:** More conditions may make your offer less attractive, but they provide greater protection.

Tips for Success

Act Quickly

In a hot market, delays can mean a missed opportunity. Be ready to move fast.

Get Everything in Writing

Verbal agreements are not binding. Make sure everything is documented in the S&P agreement.

Stay Within Your Means

Don't let emotions push you to overspend. Stick to your predetermined budget.

Be Patient

If your offer isn't accepted, don't be discouraged. The right property will come along.

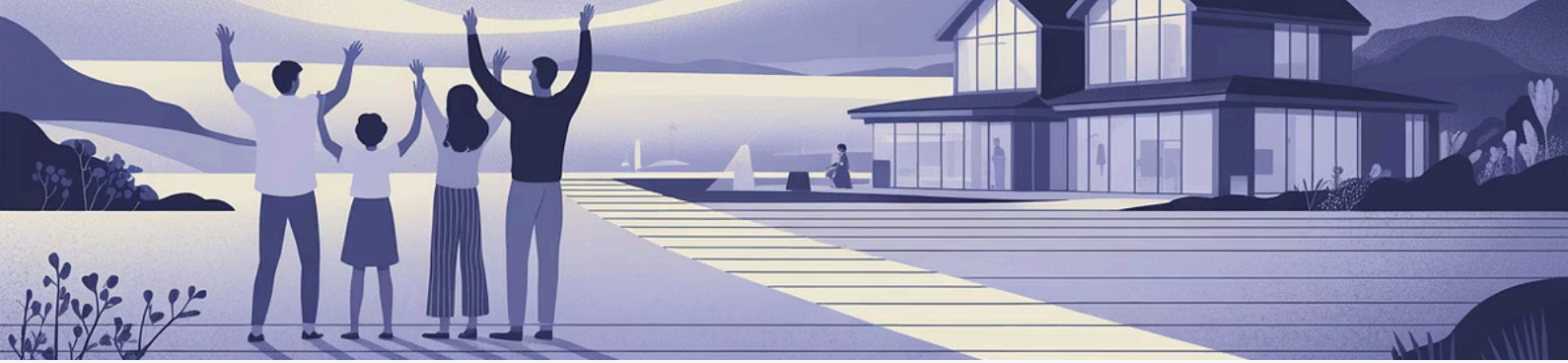
Personal Touch

A personal letter to the vendors explaining why you love their home can make a difference.

Consider a Buyer's Agent

In competitive markets, a buyer's agent can provide valuable support and advice.





From Conditional to Unconditional

Don't relax just yet! The completion stage requires attention to detail and clear coordination.



Engage Your Lawyer

Your lawyer will handle all the paperwork, including the sale and purchase agreement and title verification. Choose a specialist in real estate.



Fulfil Conditions

Complete all conditions of your offer: finance approval, inspection, LIM report. Your lawyer will monitor the deadlines.



Finalise Financing

Submit the signed agreement to your bank (or your Mortgage Advisor manages the process), arrange a property valuation (if required). The bank will prepare the final loan documents.



Settlement Day

Ownership officially transfers to you. Conduct your final walkthrough, sign the documents, and get the keys!

Moving In: Your New Home Checklist

- **Connect utilities:** Electricity, gas, water, internet — before moving day.
- **Change the locks:** For security, fit new locks on all external doors.
- **Plan your move:** Book movers and prepare an "essentials box" for day one.



You are The Owner now!

Congratulations, you have successfully completed the property buying journey! Now that the keys are in your hands, a new chapter begins – life as a homeowner. This role brings not only the joy of owning your own home, but also certain responsibilities.

Rates and Insurance

Regular payment of property rates and keeping your insurance policies up to date are vital for protecting your investment. Make sure you understand your payment deadlines and what your insurance covers.

Maintenance and Repairs

Your home will need ongoing care. Create a regular maintenance plan and set aside funds for unexpected repairs to prevent bigger problems down the track.

Mortgage Management

Set up automatic payments to avoid missing due dates. Consider making additional repayments when possible — this can significantly reduce your loan term and the total amount of interest paid.

Body Corporate (if applicable)

If you purchased an apartment or townhouse, familiarise yourself with the rules, responsibilities, and annual fees of the Body Corporate. This will ensure smooth co-ownership and support of shared property.

Once all the formalities are complete and you've settled in, it's time to enjoy your new property and truly make it your own.



Housewarming

Invite friends and family to celebrate this important milestone.



Make your Vibe

Start personalising your home. Even small changes will help you feel comfortable and at ease.



Become Part of the Community

Get to know your neighbours and explore the local area. Join groups based on your interests.

Congratulations on your new home! This is a major milestone in life, and we hope you enjoy every moment in your new place.



Ready to Start Your Journey to Buying a Home?

Congratulations on reaching the end of this guide! You now have a comprehensive understanding of the home buying process in New Zealand. From financial preparation to finding the perfect property, from making an offer to moving into your new home — you are equipped with the knowledge to confidently navigate the real estate market.

Remember, buying your first home is a significant milestone, and it's perfectly normal to feel overwhelmed from time to time. The key is to stay informed, organized, and patient throughout the process. Don't hesitate to seek professional advice from mortgage advisors, real estate agents, lawyers, and building inspectors — they are happy to help you.

Valar is here to support you at every step of the way. But my work is different from what regular mortgage advisors do.

How is Valar different?

My mission is **strategic building of your financial future**.
I don't just arrange loans or find the best rate.



I work much deeper. I help you:

- build a **long-term financial strategy**,
- define your goals and the optimal steps to achieve them,
- use real estate as a tool for **wealth creation**, not just a place to live,
- build financial freedom through smart decisions today.



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Your First Home Buyer Checklist

PAGE 1 OF 4



Your Financial Foundation

Take a moment to reflect honestly. There are no right or wrong answers — just yours.

Why do you want to buy your first home?

What would make a first home a smart financial decision for you?

How much deposit do you currently have?

Where will your deposit come from?

☐ Savings ☐ KiwiSaver ☐ Family gift
☐ Sale of assets ☐ Other: _____

What concerns you most about buying a home?

What one financial habit could you improve over the next three months?



Your First Home Buyer Checklist

PAGE 2 OF 4



Getting Mortgage Ready

Understanding your numbers is the first step to feeling in control.

What price range do you think you can comfortably afford?

What monthly mortgage repayment would still allow you to enjoy life?

Which debts would you like to reduce before applying?

Have you checked your credit score?

Date: _____ Score (if known): _____

Which documents have you already prepared?

☐ Payslips ☐ Bank statements ☐ ID

☐ Tax returns ☐ Other: _____

What questions would you like to ask a Mortgage Adviser?



Your First Home Buyer Checklist

PAGE 3 OF 4



Finding the Right Home

Clarity on what you truly want will save you time, money, and stress.

What are your three non-negotiables?

1. _____
2. _____
3. _____

Which features would simply be 'nice to have'?

Which suburbs are you considering?

What compromises are you willing to make?

What worries you most about choosing the wrong property?

Before making an offer, what do you want to double-check?

- ☐ Building inspection ☐ LIM report ☐ Title search
☐ Body corporate ☐ Other: _____



Your First Home Buyer Checklist

Your Action Plan

The best time to start was yesterday. The second best time is now.

What are the next three things you need to do?
1. _____
2. _____
3. _____

What is stopping you from moving forward today?

What would make you feel confident enough to buy?

When would you ideally like to own your first home?

What does success look like one year after buying your home?

Additional Notes to Remember

